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Case Number: 25STCP02441 Hearing Date: July 31, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department 508

KELLY MORENO-GARCIA,

Plaintiff

and Respondent,

vs.

THE REGENTS OF THE UNIVERSITY OF CALIFORNIA,

Defendant

and Appellant.

Case No.:

25STCP02441

Hearing Date:

July 31, 2026

Hearing Time:

2:00 p.m.

[TENTATIVE] ORDER RE:

THE REGENTS OF
THE UNIVERSITY OF CALIFORNIA'S MOTION FOR DETERMINATION OF APPEAL AS A MATTER
OF LAW

Background

The Regents of the University of California (the "Regents") filed the instant action on July 1, 2025, appealing from the Labor Commissioner's decision to award Kelly Moreno-Garcia ("Garcia") \$7,416.00 for Labor Code violations.

On February 26, 2021, Garcia filed an initial complaint with the Labor Commissioner's office (Division of Labor Standards Enforcement) against the Regents, asserting waiting time violations under Labor Code sections 202 and 203. The Labor Commissioner made its determination in favor of Garcia on April 11, 2025. The order stated that "[t]his award is not yet a final judgment. This award shall become final and enforceable as a judgment in court if Defendant does not file an appeal pursuant to Labor Code Section 98.2." (Appeal, Ex. A, p. 9.)

The Regents now moves for a determination of appeal as a matter of law. Garcia opposes. The Regents replied.

Request for Judicial Notice

The Court grants the Regents' request for judicial notice of Exhibits A and B.

The Court grants Garcia's request for judicial notice of Exhibits A, B, C, and D.

Legal Standard

"Labor Code section 98.2 provides for a de novo trial in superior court on appeal from an order by the Labor Commissioner. On appeal from the judgment of the superior court, the findings of the Labor Commissioner are entitled to no weight, and review is of the facts presented to the trial

court.” ((Nordquist v. McGraw-Hill Broadcasting Co. (1995) 32 Cal.App.4th 555, 560-561.)

Labor Code section 98.2, subdivision (a), provides that “[w]ithin 10 days after service of notice of an order, decision, or award, the parties may seek review by filing an appeal to the superior court, where the appeal shall be heard de novo.”

“As a condition to filing an appeal

pursuant to this section, an employer shall first post an undertaking with the reviewing court in the amount of the order, decision, or award. The undertaking shall consist of an appeal bond issued by a licensed surety or a cash deposit with the court in the amount of the order, decision, or award. The employer shall provide written notification to the other parties and the Labor Commissioner of the posting of the undertaking. The undertaking shall be on the condition that, if any judgment is entered in favor of the employee, the employer shall pay the amount owed pursuant to the judgment, and if the appeal is withdrawn or dismissed without entry of judgment.” (Lab.

Code, § 98.2, subd. (a).) “Therefore, the right of an employer to seek de novo judicial review in the superior court of a Labor Commissioner’s order, decision or award is conditioned on the necessary prerequisite that the employer post a bond or undertaking for the amount of the award.” ((Williams v. Freedomcard, Inc. (2004) 123 Cal.App.4th 609, 614.)

Discussion

The Regents brings this motion “on the grounds that the Deputy Labor Commissioner misapplied and/or misinterpreted applicable statutory, common law, and/or constitutional law. Specifically, this action has no merit because (1) this honorable Court has no jurisdiction over the subject of the cause of action alleged in the original Department of Industrial Relations Complaint (‘Complaint’) filed by Kelly Moreno-Garcia (‘GARCIA’); (2) that the Complaint does not state facts sufficient to constitute a cause of action; and (3) GARCIA is collaterally estopped from bringing the subject Complaint.” (Notice of Mot., 2:1-7.)

A. Collateral Estoppel

As a preliminary matter, the Regents asserts that the central question of whether it is subject to Labor Code sections 202 and 203 is purely legal. The Regents contends that it previously prevailed on this issue, yet the Department

of Industrial Relations (“DIR”) “continues to bring these claims [sic] to hearing despite having the stated purpose of effectuating California law as a ‘neutral’ party. As a result, THE REGENTS has been forced to expend resources defending these claims and argues that collateral estoppel must be applied.” (Mot., 9:15-19.) The Regents asserts that the DIR and Garcia “must bound by the rulings in Totrakarn v. Regents of the University of California (Superior Court Case No. 20STCV13669) (‘Totrakarn’) and/or Newman, Courtney v. Regents of the University of California (Court of Appeal, Second Appellate District, Division 4, No. B341286) (‘Newman’).” (Mot., 9:19-23.)

“Collateral estoppel is a distinct aspect of res judicata. The doctrine of res judicata gives conclusive effect to a former judgment in subsequent litigation between the same parties involving the same cause of action.” (Murray v. Alaska Airlines, Inc. (2010) 50 Cal.4th 860, 866, quotations omitted.) Collateral estoppel “involves a second action between the same parties on a different cause of action. The first action is not a complete merger or bar, but operates as an estoppel or conclusive adjudication as to such issues in the second action which were actually litigated and determined in the first action.” (Id., at p. 867, quotations omitted.)

To invoke collateral estoppel, the moving party must establish: (1) the party against whom the doctrine is asserted “was a party or was in privity with a party to the prior adjudication, (2) there was a final judgment on the merits in the prior action and (3) the issue necessarily decided in the prior adjudication is identical to the one that is sought to be relitigated.” ((Roos v. Red (2005) 130 Cal.App.4th 870, 879.) “Collateral estoppel is designed to conserve judicial resources by preventing repetitive litigation.” (The Swahn Group, Inc. v. Segal (2010) 183 Cal.App.4th 831, 842.)

The Regents demonstrates that the last two factors apply here. First, the Regents cites two unpublished cases, Totrakarn v. Regents of the University of California (Superior Court Case No. 20STCV13669) (Totrakarn) and Newman, Courtney v. Regents of the University of California (Court of Appeal, Second Appellate District, Division 4, No. B341286) (Newman). (See DRJN, Exs. A, B.) These both meet the second element for a final judgment on the merits. As for the third element for an identical issue, the Regents asserts that “[t]he legal issues in Totrakarn and Newman are identical to this case,” in part because

both cases involve the Regents and waiting time penalties. (Mot., 10:14.) The Regents explains that in Totrakarn, “[t]he 11-page ruling goes into great detail regarding pertinent issues herein including, a finding that Sections 202 and 203 do not apply to THE REGENTS (Id. at pp. 4-6); that it would be unconstitutional to apply the same to the Regents (Id. at pp. 7-10); and that Government Code 818 immunizes THE REGENTS from the penalty imposed by Section 203 (Id. at pp. 10-12). Final judgment was entered on February 26, 2021.” (Mot., 10:20-25.) As for the Newman case, “Newman sought waiting time penalties pursuant to Section 203 for what she contended was a violation of Section 202 after THE REGENTS allegedly failed to timely pay her final wages in or around January 2022. (See, Exhibit B, Page 3 to RJN). Like Totrakarn, the Court of Appeal found that application of Sections 202 and 203 to the Regents would be unconstitutional and that no exceptions apply (Id. at pp. 10-16); that neither Section 202 or 203 mentions the Regents (Id. at p. 14); that Section 220(b) prevents the Court from concluding that Sections 202 or 203 apply to the Regents (Id. at p. 15). Newman appealed the ruling. On or about April 15, 2026, the petition for review was denied.” (Mot., 11:3-10.)

The cases presented by the Regents satisfy the same issue and final judgment requirements. Garcia’s opposition does not appear to dispute or address this. However, the pertinent question is whether Garcia was in privity with the parties to the previous litigation.

Cited by both parties, DKN Holdings LLC v. Faerber (2015) 61 Cal.4th 813, 826 provides the rule for privity that, when “applied to questions of preclusion, privity requires the sharing of an identity or community of interest, with adequate representation of that interest in the first suit, and circumstances such that the nonparty should reasonably have expected to be bound by the first suit. A nonparty alleged to be in privity must have an interest so similar to the party’s interest that the party acted as the nonparty’s virtual representative in the first action.” (Internal citations and quotations omitted.)

The Regents contends that “[h]ere, GARCIA and/or the DIR represent the party to be estopped while Newman and/or Totrakarn are the unsuccessful parties in their prior respective litigations. ‘The community of interest’ shared by Newman, Totrakarn, and GARCIA is their employment with THE REGENTS, the timing

of their resignations, the relief they sought (e.g. payment of a penalty for what they claim was THE REGENTS' failure to issue final payment of wages on time), and how they pursued said relief. The DIR plays an integral part in the "enforcement" of Sections 201-203 and operates jointly with claimants seeking redress under these statutes. It controls a claimant's ability to bring the claim itself, seek penalties, and obtain judgment against THE REGENTS. The DIR fields the claims, analyzes its jurisdiction internally, holds settlement conferences, and conducts hearings. Even after appeal, the DIR requires service be effectuated upon it of all subsequent appeals and on all filings made thereunder." (Mot., 12:14-25.)

The Regents continues, asserting that "[f]or those processes THE REGENTS has been privy to, it understands the DIR's process as follows. A claimant will present his or her claim(s) directly to a representative from the DIR who gathers information ex parte and, acting alone, assesses and determines whether it has jurisdiction over the stated claims. In most, if not all instances, documents a claimant sends to the DIR are not shared with THE REGENTS. Once jurisdiction is determined, the DIR has the claimant confirm the information during the formal hearing. At that point, claimant is permitted to introduce exhibits which may or may not include those documents previously transmitted to the DIR during claim intake." (Mot., 12:26-13:6.) The Regents outlines a close relationship between the Labor Commissioner and claimants, because Labor Code section 98.4 provides that the Labor Commissioner will represent a claimant in a de novo appeal. The Regents points out that Garcia "requested representation by the DIR in the instant case under this Section." (Mot., p. 13, fn. 7.) The Regents asserts that "[t]hus far, the above demonstrates that all procedural requirements for non-mutual collateral estoppel have been met." (Mot., 13:12-14.)

Garcia's opposition asserts that she "does not share a unity of interests with the other employees to bar her from pursuing her claims." (Opp., 22:18-19.) Garcia asserts that "[t]he Regents contend that because other (unrepresented) employees made similar legal arguments and did not prevail, that Moreno-Garcia must have been in privity with them. This argument is meritless. It is black letter law, designed to protect due process, that employees bringing cases against the same employer are not bound by the other employees' individual lawsuits." (Opp., 23:2-6.) Garcia cites *Rodgers v. Sargent Controls & Aerospace* (2006) 136 Cal.App.4th 82, where the court found an employee was not bound by the outcome of two other cases brought by his coworkers against their employer. In doing so, the court expressed that

“[a]lthough appellant, at least through his attorney, must have been aware of the prior litigation, he did not stand in a close relationship with the other two plaintiffs, had no control over the proceedings in the other cases, and cannot be charged with notice that he avoided the prior proceedings at his peril.” ((Id. at p. 93.) Garcia asserts that “[h]ere, consistent with legal precedent, Moreno-Garcia had no expectation that she would be ‘virtually represented’ by any of the hundreds of other employees who the Regents paid late, including Newman and/or Totrakarn, even if they made similar legal arguments.” (Opp., 23:9-12.)

Garcia also contends that “[t]he Regents attempt to differentiate this case by claiming that Moreno-Garcia was in privity with previous Regents’ employees because she utilized the same forum—the ‘legislatively favored’ Berman process. This argument is similarly meritless and would punish workers in the middle class and in low-wage industries who cannot afford attorneys to litigate in court.” (Opp., 23:18-21.) Garcia explains that “[i]f an employee prevails in the Berman hearing and the employer appeals, the Labor Commissioner must provide an attorney to ‘represent such claimant’ who is unable to afford counsel. Section 98.4 (emphasis added). As with a public defender, the attorney’s obligation is to represent their client as dictated by the Legislature; the attorney does not represent the Labor Commissioner as an agency in these cases. The Regents nevertheless maintain that workers should be disadvantaged and subject to preclusion for using the ‘legislatively-favored’ Berman process, as opposed to court.” (Opp., 24:20-25:3.)

Garcia first contends that “a worker’s choice of forum is unrelated to whether the worker is in privity with another litigant. Plaintiff is unaware of any court case, and the Regent’s present none, where a court has held that a party can be controlled by an unpublished, non-precedential decision simply for using the same forum as another employee suing the same employer. The Regents’ theory would violate Moreno-Garcia’s right to due process because she would have no opportunity to be heard.” (Opp., 25:5-9.)

Second, Garcia asserts that “despite the Regents’ contentions otherwise, this is not a writ challenging the Labor Commissioner’s policy or administrative decision, with the Labor Commissioner as a party. Instead, this is de novo trial between the Regents and Moreno-Garica. Either party, not the Labor Commissioner, can appeal a hearing officer decision de novo under Section 98.2.” (Opp., 25:10-13.)

Garcia contends that, “[f]inally, the Regents’ suggestion that a worker unable to afford counsel who receives representation under Section 98.4 should face an additional disadvantage in a privity test is even less convincing. The Regents contend the appointment of counsel for a claimant unable to otherwise afford representation under Section 98.4 shows the Labor Commissioner’s ‘close’ relationship with claimants—i.e. that the Labor Commissioner is the party to be estopped. Opening Br. at 13. Similar to a public defender, the attorney appointed under Section 98.4 owes an ethical obligation to their client—in this case, the undersigned owes that obligation to Moreno-Garcia.” (Opp., 25:21-26:3.)

The Regents responds, asserting that its moving papers “argued for nonmutual collateral estoppel against Garcia and/or the DIR and outlined how each factor has been satisfied in this case. Absent from Garcia’s opposition is any argument against nonmutual collateral estoppel against the DIR, the precedent set in *People v. Sims*, or The Regents’ prove-up of privity between it and the DIR. Instead, Garcia repeatedly mischaracterized the arguments made by the Regents with respect to the DIR’s involvement in the claims process and the privity factor.” (Reply, 9:17-23.) The Regents mentions *People v. Sims* (1982) 32 Cal.3d 468 (questioned on other grounds), which the Regents utilized in its moving papers to assert that “Courts have applied collateral estoppel to administrative agencies so long as the party to be estopped is found to be in privity with the previous, unsuccessful litigant.” (Mot., 12:8-10.) The Court notes that although *People v. Sims* collaterally estopped the district attorney’s office from pursuing claims against Sims due to a previous agency decision on the same issue, the case involved the same individual (Id. at p. 487); something the case here lacks.

The Regents attempts to invoke collateral estoppel in the instant case against Garcia and the DIR, and in the future to stop the DIR from bringing cases against it. However, “nonmutual collateral estoppel does not apply against the government as a way to preclude relitigation of issues” (*Helene Curtis, Inc. v. Assessment Appeals Bd.* (1999) 76 Cal.App.4th 124, 133), and the Regents is vested as a governing entity by way of the California Constitution. Additionally, the case at bar is between the Regents and Garcia. Although the DIR administers and enforces the Labor Code and other workplace laws, the DIR does not automatically create privity with each claimant it represents. The court in *Lusardi Construction Co. v. Aubry* (1992) 1 Cal.4th 976, 995 stated that “[t]he acts of one public agency will

bind another public agency only when there is privity, or an identity of interests between the agencies.” Although between public agencies, it is instructive. Garcia’s individual wage claims are separate from the DIR’s “identity of interests.” The DIR helps enforce the law; however, there is nothing to demonstrate that the DIR’s involvement in a plaintiff’s complaint creates shared interests. A plaintiff seeks a favorable outcome, whereas the DIR seeks to neutrally enforce the law. Moreover, allowing privity between DIR and claimants could create preclusion issues for future claimants, against the Regents or otherwise, which would present due process concerns. Accordingly, privity does not exist between Garcia or the DIR and the plaintiffs in Newman or Totrakarn.

The Regents’ motion also asserts that “additional practical conclusions ... favor application of collateral estoppel in this case.” (Mot., 13:13-14.) However, given the due process concerns that would arise from finding privity where privity does not exist, the Court declines to consider the additional favorable outcomes.

B. Constitutionality

of Applying Labor Code Sections 202 and 203

The Regents asserts that the DIR order

finding in favor of Garcia is flawed because the Regents is not subject to Labor Code sections 202 and 203 and the Regents is a

municipal corporation under Labor Code section 220,

subdivision (b). The Regents points to the language of the California Constitution Article IX, section 9,

subdivision (a), which explicitly enshrines the

Regents with autonomy. Specifically, it provides that:

The University of California shall

constitute a public trust, to be administered by the existing corporation known

as ‘The Regents of the University of California,’ with full powers of

organization and government, subject only

to such legislative control as may be necessary to insure the security of its

funds and compliance with the terms of the endowments of the university and

such competitive bidding procedures as may be made applicable to the university

by statute for the letting of construction contracts, sales of real property,

and purchasing of materials, goods, and services.

(Cal. Const.

art. IX, § 9, subd. (a).) "Article IX, section 9, grants the regents broad powers to organize and govern the university and limits the Legislature's power to regulate either the university or the regents. This contrasts with the comprehensive power of regulation the Legislature possesses over other state agencies. The courts have also recognized the broad powers conferred upon the regents as well as the university's general immunity from legislative regulation." (San Francisco Labor Council v. Regents of University of California (1980) 26 Cal.3d 785, 788 (San Francisco Labor Council).) "The corporation known as the Board of Regents constitutes the highest administrative authority of the University of California. The Regents have the general rule-making or policy-making power in regard to the University and are fully empowered with respect to the organization and government of the University. (T)he power of the Regents to operate, control, and administer the University is virtually exclusive." (Regents of University of California v. Superior Court (1970) 3 Cal.3d 529, 540 [internal citations and quotations omitted].) "[T]he University is intended to operate as independently of the state as possible." (Regents of University of California v. Superior Court (1976) 17 Cal.3d 533, 537.)

Although the Regents is vested with significant autonomy and freedom, it "is not completely free from legislative regulation. In addition to the specific provisions set forth in article IX, section 9, there are three areas of legislative regulation. First, the Legislature is vested with the power of appropriation, preventing the regents from compelling appropriations for salaries. [Citations.] Second, it is well settled that general police power regulations governing private persons and corporations may be applied to the university. [Citations.] For example, workers' compensation laws applicable to the private sector may be made applicable to the university. Third, legislation regulating public agency activity not generally applicable to the public may be made applicable to the university when the legislation regulates matters of statewide concern not involving internal university affairs." (San Francisco Labor Council, *supra*, 26 Cal.3d at p. 789.)

This reasoning has been expanded to include Labor Code wage provisions, and "Courts have consistently held the Regents is exempt from statutes regulating the wages and benefits of employees and other workers, including those pertaining to prevailing wages, overtime pay, and indemnification for the cost of work uniforms and maintenance, on the ground those matters are internal

affairs of the university that do not come within any of the exceptions to constitutional immunity.” ((Goldbaum v. Regents of University of California (2011) 191 Cal.App.4th 703, 706 (Goldbaum).))

Garcia's claim for waiting time penalties arises under Labor Code sections 202 and 203. Labor Code section 202, subdivision (a), provides

that “[i]f an employee not having a written contract for a definite period quits his or her employment, his or her wages shall become due and payable not later than 72 hours thereafter, unless the employee has given 72 hours previous notice of his or her intention to quit, in which case the employee is entitled to his or her wages at the time of quitting.” Whereas Labor Code section 203 enumerates waiting time penalties, prescribing that “[i]f an employer willfully fails to pay, without abatement or reduction, in accordance with Sections 201, 201.3, 201.5, 201.6, 201.8, 201.9, 202, and 205.5, any wages of an employee who is discharged or who quits, the wages of the employee shall continue as a penalty from the due date thereof at the same rate until paid or until an action therefor is commenced.”

The Regents contends that “both Sections 202 and 203 attempt to regulate the timing of THE REGENTS’ payment(s) to employees, an action that springs entirely from the employer-employee relationship. Because such action is a necessary administrative function, it falls within THE REGENTS’ internal affairs. It therefore may not be subject to any of the exceptions listed above and any attempted regulation thereof would infringe upon the University’s constitutional autonomy and immunity from legislative control, rendering any such application unconstitutional.” (Mot., 18:21-27; see Gomez v. Regents of University of California (2021) 63 Cal.App.5th 386, 403-404 [“The Regents’ timekeeping procedures are matters of internal affairs of the university that do not come within any of the exceptions to the Regents’ constitutional immunity.”].)

The Regents further asserts that the Regents is intended to be excluded “from the purview of Sections 202, 203, and 220. Neither Section 202 nor 203 references THE REGENTS in any way.” (Mot., 19:8-9.) “A traditional rule of statutory construction is that, absent express words to the contrary, governmental agencies are not included within the general words of a statute.”

((Wells v. One2One Learning Foundation (2006) 39 Cal.4th 1164, 1192.) “Generally, ... provisions of the Labor Code apply only to employees in the private sector unless they are specifically made applicable to public employees.” ((Stoetzel v. Department of Human Resources (2019) 7 Cal.5th 718, 752 [internal quotations and citations omitted].)

The Regents points to Allen v. San Diego Convention Center Corp., Inc. (2022) 86 Cal.App.5th 589, 597, where the court found that the public entity at issue was not subject to waiting time penalty violations under Labor Code sections 202 and 203, stating that “[a]s in other areas of the law, governmental actors enjoy protection from liability under the Labor Code unless a statute specifically brings a public employer within its ambit.” “[U]nless the laws in question expressly state otherwise, the Labor Code’s wage and hour requirements do not apply to public employers.” ((Stone v. Alameda Health System (2024) 16 Cal.5th 1040, 1059.) The Regents contends that “[h]ere, all of the same reasoning applies. Neither section contains any language expressly applying the provisions therein to public entities or their employees. There are, however, other sections that have been expressly amended to include THE REGENTS. Because sections 202 and 203 remain unchanged and do not expressly extend to THE REGENTS, neither should be interpreted as applicable to THE REGENTS or its employees.” (Mot., 20:26-21:4.)

Garcia contends that “[t]he Regents’ constitutional autonomy, [] is not so absolute as the Regents argue. It does not shield them from any and all wage related laws that may touch on the ‘employer-employee relationship.’” (Opp., 14:13-15.) Garcia asserts that the Regents may be regulated under both the exceptions for matters of statewide concern not involving internal university affairs and police powers.

First, Garcia contends that “[t]he Regents are not immune from Section 203 because the timely payment of final wages is a matter of statewide concern.” (Opp., 14:21-22.) Garcia contends that although the Regents’ interpretation of its autonomy is sweeping, the Regents is subjected to various statutes that affect its autonomy and do not implicate its internal affairs.

However, as the Court quoted above, “Courts have consistently held the Regents are exempt from statutes regulating the wages and benefits of employees and other workers, including those pertaining to prevailing wages, overtime pay, and indemnification for the

cost of work uniforms and maintenance, on the ground those matters are internal affairs of the university that do not come within any of the exceptions to constitutional immunity.” ((Goldbaum, *supra*, 191 Cal.App.4th at p. 706.) As the Regents points out in reply, it “demonstrated that issues pertaining to wages ‘fall squarely’ within The Regents’ internal affairs and thus an attempt to regulate the timing of the payment of wages would therefore be unconstitutional. Garcia offers no case law to the contrary. She decrees that payment of final wages is not a matter of internal affairs but cites no case law in support of the proposition.” (Reply, 7:2-6)

Regulating the internal payroll of the Regents was expressly deemed internal affairs in *Gomez v. Regents of University of California*, *supra*, 63

Cal.App.5th at pp. 403-404, where the court stated that “[t]he Regents’ timekeeping procedures are matters of internal affairs of the university that do not come within any of the exceptions to the Regents’ constitutional immunity.” Additionally, in *Goldbaum, supra*, the court found that “[a] line of opinions establishes that matters pertaining to wages and benefits are internal university affairs not subject to any of the exceptions to the Regents’s constitutional immunity from state regulation.” (Id. at p. 710.) Accordingly, regulating the internal payroll of the Regents is within the Regents internal affairs and does not fall under the exception for regulations governing matters of statewide concern not involving internal university affairs.

As for the Regents’ police powers, Garcia asserts that “[t]he power to regulate wages and working conditions is clearly within the state’s police powers.” (Opp., 19:1-2.) Garcia contends that “[i]n *San Francisco Labor Council*, the California Supreme Court unequivocally stated that it is well settled that general police power regulations applicable to private persons and corporations may be applied to the Regents. Specifically, in *San Francisco Labor Council*, the court held that a provision of the Education Code requiring the Regents to pay prevailing wages did not meet the police powers exception to immunity because there was ‘no showing that prevailing wage requirements have been made generally applicable to private persons and corporations.’” (Opp., 19:6-11, citing *San Francisco Labor Council, supra*, 26 Cal.3d at p. 790.) Garcia also asserts that “[h]ere, Section 203 applies to all private persons, corporations, and the State, exempting only those employed by local public agencies. Section 220(b). Like workers’ compensation laws, waiting time penalties are police power regulations

governing the private sector and the State.” (Opp., 19:15-17.) Further, Garcia contends that “[t]he Regents contend that because Section 203 does not universally apply to every employer, it cannot constitutionally be applied to the Regents. Opening Br. at 24-25. This position conflicts with California Supreme Court precedent and would limit the applicability of numerous laws understood to be both matters of statewide concern and exercises of police power.” (Opp., 19:26-20:2.)

The Court notes that the court in San Francisco Labor Council found that an Education Code statute requiring the Regents to pay prevailing wages violated the Regents' independence because the statute did not fall within any of the constitutional exceptions. (San Francisco Labor Council, *supra*, 26 Cal.3d at pp. 789-790.) As the Regents asserts in reply, Garcia “concede[s] that the court in San Francisco Labor Council found that the legislature could not apply the prevailing wage statute and that such legislation was not a matter of statewide concern or within the state’s police powers exemptions.” (Reply, 7:12-16.)

Nonetheless, the Court finds the precedent set in Goldbaum, *supra*, 191 Cal.App.4th 703 instructive. There, the Goldbaum court specifically looked at Labor Code section 218.5, stating that that code section is “silent as to the Regents” and that “[t]he Regents is an arm of state, and there is no suggestion the Legislature sought to impose the statute on the Regents.” (Id. at p. 714.) The Court of Appeal “reject[ed] the notion that whenever a statute is arguably an exercise of the state’s broad power to govern, it applies to the Regents. For instance, states ‘possess broad authority under their police powers to regulate the employment relationship to protect [state] workers,’ including the authority to enact wage laws. [Citation.] Yet, California courts have held certain wage laws do not apply to the Regents.” (Id. at pp. 712-713.) The Goldbaum court cited Scharf v. Regents of University of California (1991) 234 Cal.App.3d 1393, 1403, stating that “the [Scharf] court explained: ‘To be sure, a powerful state interest within the police power of the state which cannot be effectuated without application to the University will override a parochial concern of the University.’” (Id. at p. 713.) The Goldbaum court further explained that “[t]he exercise of police power is subject to ‘specific constitutional limitations’ [citation], including consideration of the Regents’s constitutional immunity.” (Ibid.) Moreover, “[t]o any extent [Labor Code section 220, subdivision (b)] is arguably an exercise of police power as applied to private persons or corporations, its

application to the Regents is unjustified as the sweeping exemption of public employers shows the statute may be effectuated without applying it to the Regents.” (Id. at p. 714.)

Under the Goldbaum framing, Labor Code sections 202 and 203's silence concerning the Regents is telling. The Legislature explicitly chose not to include the Regents in the statute, and there is no clear indication that the statute's broad language was intended to govern the Regents. Exercising police powers is subject to limitations, and without clear indication otherwise, the sections cannot be read as applicable to the Regents, whether on their own, or by way of Labor Code section 220, subdivisions (a) and (b), as discussed below. Accordingly, the police powers exception is not present here.

Garcia fails to demonstrate that applying Labor Code section 202 and 203 to the Regents fits within an exception. Thus, applying these code sections to the Regents would be unconstitutional.

C.

Labor

Code section 220, subdivision (b)

The Regents contends that “[i]n this case, the DIR also attempted to use Section 220 to bootstrap its application of Section 202 and 203 to THE REGENTS. For the reasons stated below, the DIR's interpretation of Section 220(a) and (b) is incorrect and not supported by either constitutional principles or principles of statutory interpretation.” (Mot., 21:18-21.)

Labor Code

section 220, subdivision (a), provides that “Sections 201.3, 201.5, 201.6, 201.7, 201.8, 203.1, 203.5, 204, 204a, 204b, 204c, 204.1, 205, and 205.5 do not apply to the payment of wages of employees directly employed by the State of California. Except as provided in subdivision (b), all other employment is subject to these provisions.” Subdivision (b) states that “Sections 200 to 211, inclusive, ... do not apply to the payment of wages of employees directly employed by any county, incorporated city, or town or other municipal corporation. All other employments are subject to these provisions.” (Lab. Code, § 220, subd. (b).)

Regarding Labor

Code section 220, subdivision (b), the Regents asserts that because it “enjoys constitutional autonomy and is free from legislative regulation of its internal affairs[,] ... using Section 220 to bootstrap Sections 202 or 203 would be unconstitutional... Aside from that foundational point, employees of THE REGENTS are not ‘directly employed by the State of California’ (emphasis added), Sections 202 and 203 are not ‘uniformly applied’, and THE REGENTS should in fact be considered a quasi-municipal corporation, and, thus exempted by Section 220(b)’s application of Sections 202 and 203.” (Mot., 22:3-9.)

The Regents also contends that it “should be considered a quasi-municipal corporation under Section 220(b) and thus exempt from the statute’s purview. Both case law and legislative history support a broad definition of ‘municipal corporation’ as used in Section 220(b).” (Mot., 25:4-6.) In *Stone v. Alameda Health System* (2024) 16 Cal.5th 1040, 1070 (Stone), the court interpreted the language of Labor Code section 220, subdivision (b), finding that “[b]ecause the statute specifically names ‘county, incorporated city, [and] town’ [citation], it is evident that ‘municipal corporation’ refers to something other than one of these defined local entities.” The court reasoned that “[t]he only reasonable interpretation of this section is that the Legislature knew from the decided cases that ‘incorporated city or town’ referred to a municipal corporation in the strict sense, and intended that the additional term ‘or other municipal corporation’ should refer to municipal corporations in the commonly accepted sense—namely, public corporations or quasi-municipal corporations. Any other interpretation would give no meaning to the term ‘or other municipal corporation.’” (Id. at p. 1070.) The court found that a “broad interpretation of ‘municipal corporation’ is [] consistent with the view prevailing in decades of case law.” (Id. at p. 1072.)

The Regents contends that “the Supreme Court in *Stone* concluded that the term ‘municipal corporation’ in Section 220(b), should be interpreted broadly so as to include all government employers but-for the State which is covered in Section 220 (a). The Regents is undoubtedly a public employer and none of its employees are ‘directly employed by the State’ (see, IV, A., above). Thus, the Regents is and should be considered a municipal corporation under the exemption in Section 220(b).” (Mot., 27:10-15 [emphasis in original].)

Garcia asserts that “[t]o avoid the broad catch-all, the Regents now contend they are a ‘quasi-municipal

corporation' encompassed in the term 'other municipal corporation' in Section 220(b). This argument is unavailing because quasi-municipal corporations are creatures of legislation, not the California Constitution." (Opp., 13:12-15.) Garcia contends that the Regents cannot be quasi-municipal because quasi-municipal corporations are "at all times subject to a revocation of such power." (Stone, *supra*, 16 Cal.5th at p. 1070.) However, this quote from Stone defines municipalities that "may be formed" by the Legislature. (*Ibid.*) There is nothing to indicate that a municipality not formed by the Legislature requires that the entity's power be subject to revocation. Moreover, the court stated that "quasi-municipal corporations encompass organizations created to assist state or local governments in providing a public service." (Stone, *supra*, at p. 1070.) The Regents was formed as a public corporation under the California Constitution to provide a public service, acting as a public trust for the people.

The Regents' reply asserts that the Stone court "compared language identical to that found in Section 220(b)'s exemption and concluded that those provisions 'ha[ve] been interpreted broadly to include all public employers.' (Id. at p. 1072, *emphasis added.*) In its brief, The Regents noted the carve-out for the State in subdivision (a). There is no dispute that The Regents constitutes a public corporation or that the exemption outlined in Section 220(b) was interpreted by the Stone court to be read broadly." (Mot., 4:18-23.)

The Stone court applied a broad definition of municipalities for the purpose of interpreting Labor Code section 220, subdivision (b), backing this reasoning with significant case law, administrative interpretations, and reading the statute in context with the statute that directly follows it. Accordingly, the Court finds that the Regents is defined as a quasi-municipal agency, falling within the exception of Labor Code section 220, subdivision (b), under the Stone court's reasoning.

D. Labor Code section 220, subdivision (a)

The Regents asserts that Labor Code section 220, subdivision (a) is inapplicable because its employees are not directly employed by the State of California. The Labor Code does not define state employer; however, Government Code section 1150, subdivision (a) defines state employee as "all persons who receive wages for services through the uniform payroll system established and administered by the Controller under Section 12470." The Regents explains that "[e]mployees

of the Regents do not receive wages for services through the Controller's office. Rather they receive wages from the Regents' internal payroll system." (Mot., 22:18-20.)

In California

State Employees Ass'n v. Regents of University of California (1968) 267 Cal.App.2d 667, 669, while specifically discussing Government Code sections 1150 through 1157.5 regarding salary deductions, the court stated there are "two distinct classes of employees: employees of a 'public agency' (hereinafter public employees) and employees of the state (hereinafter state employees)." The Court of Appeal expressed that "[s]ince the Controller and the Board of Control do not regulate the activities or policies of the University of California [citations], an implication arises that the Legislature did not intend that University employees be regarded as state employees." (Id. at pp. 670-671.) The court concluded that "the Legislature did not intend to treat University employees as state employees." (Id. at p. 671.) Additionally, in People v. Lofchie (2014) 229 Cal.App.4th 240, 251-253, the Court of Appeal determined that the Regents is not a state employer, and its employees are not state employees, due to the Regents' specific constitutional immunity. The Lofchie court explicitly found that "[g]iven the absence of clear and unequivocal legislative intent to include the University of California within the ambit of [Government Code] section 1090, we ... will not judicially expand the scope of the statute to include the University and its employees." (Id. at p. 253.)

The Regents contends that "[t]he purpose of designating the University as a public trust was to insulate it from state government, ensuring that the University and its faculty would be 'entirely independent of all political or sectarian influence.'" (Mot., 23:25-27.)

In opposition, Garcia contends that "the clear plain language of Section 220 makes waiting time penalties applicable to all employers, including public employers, with the exception of municipal public employers. This includes the Regents, whether they are covered as a state employer in Section 220(a) or as 'all other employments' in Section 220(b)." (Opp., 8:25-9:1 [emphasis omitted].) Garcia contends that Labor Code section 220 applies to the Regents because the plain language of Labor Code section 204, subdivision (e) "shows that the Legislature saw the Regents as already subject to Section 203, which governs late payment at the end of employment. Indeed, the plain language of Section

204(e) acknowledges that Section 220(a) would generally apply to the Regents and carve it out of Section 204." (Opp., 10:13-16.)

Labor Code section

204, subdivision (e) provides, inter alia, that "[n]otwithstanding subdivision (a) of Section 220, all wages earned by employees directly employed by the Regents of the University of California shall be paid on a regular payday." Garcia asserts that "[t]he only explanation for the 'notwithstanding' clause in Section 204(e) is that the Legislature sought to override Section 220(a), which would have barred application of Section 204 to the Regents; otherwise, the 'notwithstanding' clause would be surplusage." (Opp., 10:18-21.) Garcia points to legislative history for Labor Code section 204, where the Assembly Committee on Labor and Employment report on SB 698 explained, "Section 204 of the Labor Code guarantees workers in the private sector the right to be paid on time, and, in doing so, California law recognizes late or missing paychecks as a form of wage theft. However, under Section 220 of the Labor Code, UC is exempt from the rules that govern employers in the private sector." (PRJN, Ex. A, p. 2.) Garcia asserts that this demonstrates that "the Legislature intended to cover the Regents in Section 220." (Opp., 11:6-7 [emphasis omitted].)

The Regents' reply asserts that "[f]irst, Section 204 regulates regular payments, not final payments. Next, Garcia presents no evidence that the amendment of Section 204 applies to Sections 201-203. She also sought judicial notice of the legislative session pertaining to SB 698 (amending Section 204), but there is nothing in that legislative history that shows the Legislature intended to alter Sections 201-203. Her conclusion is completely speculative." (Reply, 3:5-9.) The Regents also asserts that "[e]ven in the quoted legislative history, the Legislature itself generally admits '...under Section 220 of the Labor Code, UC is exempt from the rules that govern employers in the private sector'." (Opposition, Page 9, lines 2-3, emphasis added.) No distinction is made between Section 220(a) and (b). The fact remains that the Legislature could have amended Sections 201-203, but it did not. Garcia fails to show why the Legislature would amend Section 204 and not Section 202 or 203 despite being aware of The Regents' exclusion from 'rules that

governs [private sector] employees'." (Reply, 3:15-21.)

The legal maxim that "[w]hen the

Legislature 'has employed a term or phrase in one place and excluded it in

another, it should not be implied where excluded,'" is applicable here. ((Pasadena Police Officers Assn. v. City of Pasadena (1990) 51 Cal.3d 564, 576.) At

issue here are Labor Code sections 202, 203, and 220.

In Labor Code section 204, subdivision (e), the

Legislature explicitly referenced the Regents, clearly intending them to be

covered by the statute. However, the Legislature's failure to expressly include

the Regents in the statutes at issue is instructive. Garcia's assertion that Labor Code section 204 makes section

220 applicable, so that Garcia may recover waiting time penalties under sections 202 and 203, is too tenuous, especially

considering the general rule of statutory construction "that, absent express

words to the contrary, governmental agencies are not included within the general

words of a statute." ((Wells v. One2One Learning

Foundation, supra, 39

Cal.4th at p. 1192.)

Based on the case law and statutory interpretation,

the Court finds that Labor Code section 220,

subdivision (a) does not apply to the Regents because the Regents is not a

state employer, and the Regents' employees are not state employees.

E. Government

Code Section 818 Immunizes the Regents from Penalties

The Regents also contends that Government Code section 818 does not apply "as it pertains to penalties outlined in Section 203."

(Mot., 8:24.) The Court notes that because it found that Labor Code sections 202 and 203 do not apply to the Regents, the applicability of immunity is not necessary. ((See Masters v. San Bernardino County Employees Retirement Assn. (1995) 32

Cal.App.4th 30, 43 ["If defendants owed applicant no [] duty of the kind she claims, our inquiry ends there and we need not reach the issue of immunity."]); (Richardson v. Department of Motor Vehicles (2018)

25 Cal.App.5th 102, 110, fn. 4 ["Courts usually address the issue of duty or liability before addressing immunities."].) Notwithstanding, if Labor Code sections 202 and 203 applied to the Regents, Government Code section 818 would immunize it.

Government

Code section 818 provides that “[n]otwithstanding any other provision of law, a public entity is not liable for damages awarded under Section 3294 of the Civil Code or other damages imposed primarily for the sake of example and by way of punishing the defendant.” “Most civil penalties are necessarily punitive to some extent in that they aim to deter misconduct and may lead to recoveries in excess of an otherwise available measure of compensation... [H]owever, civil penalties are not punitive for section 818 purposes if some other remedial aim predominates. Indeed, a number of courts have concluded that to be condemned as punitive, a penalty, generally speaking, must simply and solely serve that purpose.” ((Los Angeles County Metropolitan Transportation Authority v. Superior Court (2004) 123 Cal.App.4th 261, 272.)

The Regents asserts that “[t]he fact that it is ‘punishment’ leads only to the conclusion that it is a penalty and therefore cannot be assessed against THE REGENTS.” (Mot., 28:4-5.)

Garcia opposes that contention, asserting that interpreting immunity under Government Code section 818 is fact-specific, and “penalties for failure to promptly pay final wages under Section 203 are not ‘imposed primarily’ for the sake of example or to punish the defendant as explained above. As discussed at length above, California has long regarded the timely payment of employee wages as indispensable to both the public welfare and to an employee to pay for the necessities of life.” (Opp., 21:25-22:2.)

However, looking at the wording of Labor Code section 203, subdivision (a), it states, inter alia, that “[i]f an employer willfully fails to pay, without abatement or reduction, in accordance with Sections 201, 201.3, 201.5, 201.6, 201.8, 201.9, 202, and 205.5, any wages of an employee who is discharged or who quits, the wages of the employee shall continue as a penalty from the due date thereof at the same rate until paid...” (Emphasis added.) The statute imposes a penalty. Additionally, the language of the statute is not compensatory as Garcia suggests. Accordingly, Government Code section 818 shields the Regents with immunity from Labor Code section 203.

Conclusion

Based on the foregoing, the Regents' motion for determination of appeal as of law is GRANTED. The Court finds that Labor Code sections 202

and 203 are inapplicable to the Regents and, thus, the Regents cannot be ordered to pay waiting time violations.

The Regents is ordered to provide notice of this Order.

DATED: July 31, 2026

Hon. Teresa A. Beaudet

Judge, Los Angeles Superior
Court